



**1.**

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• further consideration of the 'degrees' of PD, relating to consumer and producer surplus • discussion of the significance of relatively high fixed costs and peak demand • examples of PD.
Developing the response to the question:	• Reasons why PD may be good for the producer, eg helps the producer to increase ◦ total revenue ◦ profit / producer surplus ◦ output / market share ◦ protection of a monopoly. • Reasons why PD may be bad for consumers, eg ◦ reduces welfare (transfers consumer surplus to producer) ◦ reduces equity: some consumers might feel it unfair that others get cheaper prices ◦ 'first degree' (precise phrase need not be used) PD would remove all consumer surplus, therefore increase the cost of living for individuals ◦ low prices could be a barrier to entry, or used to eliminate competition.
Evaluation	• However ◦ PD might secure a loss-making good or service if high price consumers in effect cross-subsidise others ◦ less well-off customers might get access to a product for the first time (eg budget air travel) ◦ if profits are re-invested consumers might benefit in the long run ◦ a larger market leads to economies of scale with lower prices than otherwise • Consideration of word 'always' • General consideration of costs versus benefits. Examiners should note that it may be possible to award some marks for basic evaluation such as consideration of a number of pros and cons. However, this must be considered as low-level evaluation and rewarded accordingly. Stronger evaluation would prioritise the arguments for and against, and / or give economic reasons for justifying a judgement.
Also give credit for:	• reference to the UK and / or other economies • diagrams • an overall judgement on the issues raised



2.

Issues and areas for discussion include:

Introduction	• definitions/descriptions of ◦ privatisation ◦ public-private partnership (PPP).
Developing the response to the question: Application	• Evidence from the data used to support arguments for or against privatisation, e.g. references to ◦ competition ◦ concentration ◦ strategic industry ◦ public/private partnerships ◦ need for coordination across government levels ◦ environmental considerations ◦ employment.
Developing the response to the question: Analysis	• general arguments FOR privatisation, e.g. privatisation increases efficiency because the organisation becomes accountable to shareholders instead of politicians/taxpayers and therefore has to focus on profits. • general arguments AGAINST, e.g. an organisation of this type needs to have wider social objectives as well as narrow commercial objectives; the large capital costs and the strategic nature of LNG make it appropriate for the state to intervene. • reasons for the PPP format, e.g. to supply funds in the national interest; to negotiate enforceable contracts with foreign governments • reasons why the MHPA's activities might create negative externalities and impact of state versus private control.
Evaluation	• effects on competition and consumer choice can go either way; could possibly reduce competition and choice • spill-over effects from LNG industry creating costs for others in the area, e.g. tourism • possibility of market failure • possibility of government failure, e.g. wrongly predicting the market for energy • knock-on effects on the labour market • conflict of policies, e.g. with renewable energy • critique of the PPP format, e.g. may lead to ◦ inefficiency ◦ monopoly



	• impact of regulation <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• relevant use of evidence and examples not contained in the data • relevant diagrams • an overall judgement on the issues raised.

[25]

4.

For candidates who:

Define / explain 'price discrimination' in general terms, eg a producer charging different customers different prices which are not fully justified by cost differences for the same good or service.

Connecting price discrimination to this example (a train journey), with reference to competition / revenues / costs, eg:

- PD involves at least some customers paying more than they would under perfect competition and for PD to work the firm needs some degree of control over price a means of separating markets eg by characteristics of customers avoiding arbitrage / seepage
- consideration of the different characteristics / elasticities of different rail passengers (e.g. commuters, off peak). Those with lower PED pay higher prices.
- considerations of different costs created by different passengers (eg 1st Class vs. Standard, commuters vs. leisure travellers)
- PD is closely related to yield management / relationship between total revenue and price elasticity of demand, with separate elasticities in each market.
- outline of different 'degrees' of PD
- profit maximisation as a motive for PD
- fully reward discussion of reasons other than PD

[15]

5.

Explain (eg define / describe) how the size of a firm can be measured (eg in terms of capital employed, profits, market share, employment).

Explain the different ways in which a firm can grow, eg

- internal (organic) growth which can arise through, for instance, selling to an expanding market, or achieving greater market share and can be financed through means such as ploughed-back profits or borrowing/leverage
- external growth (mergers / takeovers)
- vertical integration
- horizontal integration
- diversification (lateral / conglomerate integration)

[15]



6.

Issues and areas for discussion include:

Introduction	• the meaning of cost minimisation • the meaning of revenue maximisation.
Developing the response to the question:	• methods of reducing / minimising costs • implications of cost minimisation • methods of increasing / maximising revenues • implications of revenue maximisation • discussion of whether both can be pursued at once • profit maximisation / satisficing • other possible objectives; the importance of the type of firm, eg small, large • issues to do with the divorce of ownership and control; different sections / interests within a single firm might have different objectives, eg production process (minimise costs) sales / marketing (maximise total revenue) managers (utility / status / bonuses linked to profits / sales / other indices), shareholders (long-run, short-run perspectives on share prices and dividends).
Evaluation	• consequences of different types of conduct / market structure • explanation that while $\text{Total Profit} = \text{TR} - \text{TC}$, maximum profit is at $\text{MC} = \text{MR}$ and can occur in the short run when revenues are not maximised and costs are not minimised • consideration of short-run and long-run equilibrium • possibility of satisficing and other types of behaviour • picking up on the word 'always' in the question. Examiners should note that it may be possible to award some marks for basic evaluation such as consideration of a number of pros and cons. However, this must be considered as low-level evaluation and rewarded accordingly. Stronger evaluation would prioritise the arguments for and against, and / or give economic reasons for justifying a judgement.
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams • an overall judgement on the issues raised

[25]

7.

For candidates who:

Explain 'price taker', eg

- in terms of a firm which is small in relation to the industry so by its own actions cannot affect market price and from its point of view faces a horizontal (perfectly elastic) demand curve.

For a horizontal demand curve diagram

Analyse the effects as required, for example:

- an argument to the effect that because of, for example, Chinese manufacturing development, the world demand for steel has risen, increasing the world price of steel and hence the world price of scrap iron and steel enabling the firm to increase its output and make a supernormal profit.
- more firms enter the market shifting the world supply of scrap steel to the right and reducing the world price
- eventually the world market is in long-run equilibrium with firms earning normal profits on their individual outputs and world output at a higher level than before
- the increased entry tending to lower price, might be counteracted by continuing increases in world demand (eg due to demand from China).

Make use of a suitable diagram or diagrams in the analysis, eg a perfect competition SR / LR equilibrium diagram.

[9]

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• basic meaning of merger • different types of merger (data refers to 'horizontal') • possible motives for merger: market share, growth, economies of scale, efficiency gains, monopoly power
Developing the response to the question:	• Reasons why mergers might be good for customers / passengers, eg: ◦ Lower prices, due to eg economies of scale, aircraft working closer to capacity ◦ Wider range of product / services ◦ Synergies, more integrated services (data refers to intra-EU, and EU-America services) • Reasons why they might be bad ◦ Higher prices, due to eg reduced competition ◦ Less choice ◦ Loss of consumer surplus • Reasons why mergers might be good for producers / airlines, eg: ◦ Economies of scale, lower costs, greater efficiency ◦ Rationalisation ◦ Less competition, higher profits ◦ Long run, dynamic efficiency, greater market power • Reasons why they might be bad, eg: ◦ Might attract attention of regulators (EU Commission mentioned in data) ◦ Monopoly, inertia, loss of efficiency
Evaluation	• costs versus benefits of merger • discussion of government role in regulating mergers • market failure versus government failure • short-run versus long-run perspectives. Examiners should note that it may be possible to award some marks for basic evaluation such as consideration of a number of pros and cons. However, this must be considered as low-level evaluation and rewarded accordingly. Stronger evaluation would prioritise the benefits and costs, and / or give economic reasons for justifying a judgement on, for example whether benefits generally outweigh costs.



Also give credit for:

- relevant use of evidence and examples not contained in the data
- diagrams
- an overall judgement on the issues raised

[25]



11.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• definition / explanation of efficiency: allocative, productive, dynamic • definition / explanation of contestability, eg in terms of a market where new entrants face similar low barriers, but particularly in terms of costs to existing firms and where firms can exit easily, in particular, upon exit, firms can recoup their capital costs.
Developing a response to the question:	• Consequences of contestability, eg ◦ Established firms find it difficult to earn supernormal profits, as these will be eroded by new entrants or ◦ The mere threat of new entrants will alter conduct (behaviour) ◦ Or might resort to collusion / cartels, etc, if regulatory framework is weak ◦ Firms might behave in some ways (eg pricing) as if in perfect competition ◦ Firms might also become more allocatively / productively efficient ◦ Examples of contestability / non contestability, eg using the cases of supermarkets, car manufacturing
Evaluation:	• consideration of alternative ways of improving efficiency • role of government • further examples, eg The National Lottery, theoretically a contestable market, but in practice has high entry and exit costs, and few competitors while the franchise run • an overview statement, eg to the effect that a market might 'look' like an oligopoly but behave like a price taker (car manufacturing), at least partly due to contestability • the possibility that truly contestable markets might be as difficult to find in the real world as perfect markets • the question of how to create contestability: eg de-regulation might lead to monopoly rather than competition • use of MSC / MSB analysis to consider the difference between efficiency in private and social terms.
Also give credit for:	• reference to the UK and / or other economies • diagrams

[25]

**12.**

Candidates do not have to cover either named industry. They can introduce an example of their own.

For candidates who:

Explain (define / describe) 'oligopoly' in general terms, eg

- Oligopoly can be defined as competition among a few sellers, and is a feature of 'concentrated markets'. Concentration can be indicated by means such as market share of, say, the 5 largest firms in the market

Explain 'structure', eg in terms of

- the number of firms
- market shares
- barriers to entry

Explain 'conduct (behaviour)', eg in terms of

- collusion / competition
- interdependence / uncertainty / gaming behaviour / reactive market behaviour
- price leadership / price following
- price seeking / price stickiness / non-price competition

[15]

13.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and/or other issues in the time available.

Issues and areas for discussion include:

Introduction:	- the meaning of profit - profit maximisation as an objective ($MC=MR$) - other possible objectives, eg - Revenue / sales maximisation - Output maximisation - Welfare maximisation (supply maximisation / public service) - Satisficing
Developing a response to the question:	- Reasons why small firms might be more profit-orientated, eg - Entrepreneurial attitudes - Need profits to grow (fewer sources of finance than large firms) - Reasons why large firms might become less profit-orientated, eg - Inertia / lack of competition - A 'quiet life' (wish to avoid attention from competition authorities) - Greater divorce between ownership and control
Evaluation:	- consideration of why one of the other possible objectives might increase in importance (eg Bill Gates focuses on charitable activities, leaves profit chasing to others) - questioning whether profit maximising becomes less important (eg <i>Ryanair</i> appears to follow every possible opportunity to charge new prices) - possibility that many firms, large or small, follow a range of objectives - and that none of the other objectives are possible if a firm is unprofitable - short term / long term perspectives on the importance of profit maximisation

[25]

14.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and/or other issues in the time available.

Issues and areas for discussion include:

Introduction	• distinction between mobility and flexibility • mobility: occupational, geographical • flexibility: hiring and firing, skills, etc.
Developing a response to the question:	• Costs to UK economy, eg ◦ Wages depressed by cheap influx of labour ◦ Shortages re-appear when migrants return home ◦ Loss of spending power when earnings are repatriated • Benefits to UK economy, eg ◦ Better information ◦ Recognition of UK qualifications in EU ◦ Job opportunities in EU for UK workers ◦ Possible harmonisation of working conditions, tax rates, pension rights, health services ◦ Skills gaps filled ◦ Labour shortages alleviated
Evaluation:	• benefits versus costs • discussion of the 'proper' role of government / NHS / other bodies • Consideration of monetary / non-monetary factors (Extract F suggests that a 'scheme' was considered necessary to attract dentists) • complications arising from cross-border movements, eg ◦ 'British jobs for British workers' ◦ Difficulty of long-term stability, when workers can leave as easily as they can arrive ◦ Effects on economic welfare in the countries that dentists / other workers leave (the question is UK centric, but there is such a thing as 'interdependence' – what if other countries respond by trying to 'poach' key UK workers?) • Other considerations ◦ Pressure on housing / schools and benefits ◦ Possible multiplier effects ◦ Implications for government tax revenues ◦ Impact on wage inflation and economic growth

	◦ Significance of 'flexibility' in general. <i>Examiners should note that it may be possible to award some marks for basic evaluation such as consideration of a number of pros and cons. However, this must be considered as lowlevel evaluation and rewarded accordingly. Stronger evaluation would prioritise the benefits and costs, and / or give economic reasons for justifying a judgement on, for example, whether benefits generally outweigh costs, or whether large firms on balance benefit more than small firms.</i>
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams • an overall judgement on the issues raised • use of data

[25]

15.

Analyse **two** effects of technological change which either increase or reduce barriers, for example:

- an argument to the effect that digital/ virtual products are 'weightless' (this word need not be used) and can be brought to market/ retailed at lower cost than traditional, physical products thus reducing entry barriers, increasing competition.
- economies of scale are less important when small firms can have easy access to mass markets through the internet, thus reducing barriers
- technological change can increase the influence of product differentiation, eg by monopolising a new industry format (Blu-Ray), or building in features to thwart industry-wide standards (mobile phone chargers, printer ink cartridges); all the above increasing barriers
- the question refers to Extract B. However, it is perfectly legitimate for candidates also to refer to Extract C where there is mention of legal barriers. Technology can be used to support these and therefore reinforce barriers to entry and restrict access to products (make them more excludable), eg through encryption (satellite TV). On the other hand, technology can be used (often illegally) to circumvent barriers.

[9]

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and/or other issues in the time available.

Issues and areas for discussion include:

Introduction	• definition of monopoly • examples of monopolies • explanation of 'legally backed' monopoly (IPR as an entry barrier) • discussion of the idea of 'public interest'
Developing a response to the question:	• General advantages / justification of monopolies (economies of scale, etc) • IPRs are justified because ◦ They support the creative industries ◦ Reference to economic importance of these industries (Extract C) ◦ Innovation, creativity, dynamic efficiency ◦ Return on risky investment • Arguments against 'stronger action' (general arguments against monopoly applied to the specific case of IPRs), eg ◦ Artificially high prices ◦ Loss of efficiency ◦ Reduced consumer choice
Evaluation:	• role of government / legal sanctions • market failure versus government failure • producer versus consumer sovereignty • alternatives to the legal approach, eg ◦ Regulators ◦ Leave it to market forces ◦ The need for international / global action / agreement <i>Examiners should note that it may be possible to award some marks for basic evaluation such as consideration of a number of pros and cons. However, this must be considered as low-level evaluation and rewarded accordingly. Stronger evaluation would prioritise the arguments for and against, and/or give economic reasons for justifying a particular policy decision.</i>
Also give credit for:	• use of data • relevant use of evidence and examples not contained in the data



- diagrams
- an overall judgement on the issues raised

[25]



Issues and areas for discussion include:

Introduction	• reasons why oligopolists might be considered to need regulation, eg ◦ complex monopoly ◦ anti-competitive practices ◦ allocative inefficiency.
Developing the response to the question: Application / Analysis	• policy options, advantages and disadvantages, eg ◦ ending oligopoly, breaking up larger firms into smaller ones ◦ amending oligopoly ▪ policing collusive activities, fining colluding companies (the EU approach) ▪ use of criminal law (the US approach) ▪ administrative means for investigating monopolies and mergers (the traditional UK approach) ▪ preventing potential monopolies becoming actual monopolies by restricting merger activity among oligopolies ▪ regulation ▪ privatisation / nationalisation ▪ removal of barriers • consequences of policy options, e.g. for ◦ research and development ◦ consumer and producer surplus ◦ productive and allocative efficiency ◦ dynamic, static efficiency ◦ barriers to entry ◦ scale economies ◦ national / international competitiveness ◦ employment.
Evaluation	Consideration of ◦ effectiveness of different types of policy ◦ effectiveness of individual policies ◦ intended and unintended consequences ◦ the option of allowing market forces to work without government intervention (the IBM / Microsoft argument). ◦ market vs govt failure ◦ contestability of market. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation</i>

	<i>and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• diagrams • an overall judgement on the issues raised

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]

Issues and areas for discussion include

Introduction	• definitions of 'large' and 'small' firms • problems of comparison, e.g. capital intensive and labour intensive firms • definitions of efficiency.
Developing the response to the question: Application / Analysis	• discussion of efficiency • advantages of large firms ◦ internal economies of scale • types • effects on costs • external economies ◦ effects on large and small firms • disadvantages of large firms ◦ diseconomies of scale ◦ X inefficiency (note, this is not actually in the specification) ◦ divorce of ownership and control • less clear objectives • size and market structure • advantages of small firms ◦ impact of technology ◦ divisibilities of capital.
Evaluation	• significance of large firms, eg ◦ output ◦ market share ◦ efficiency, dynamic, static • significance of small firms, eg ◦ employment ◦ entrepreneurship and innovation ◦ niche markets ◦ personal service • effects of changes in markets and technology, eg ◦ divisibilities ◦ internet trading ◦ mass production versus mass customisation; dozens of markets of millions versus millions of markets of dozens. <i>Examiners should note that, for some of the weaker or average</i>

	<i>students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Evaluation	• diagrams • an overall judgement on the issues raised

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]

Issues and areas for discussion include:

Introduction	• profit as a factor reward • rationale for profit maximisation • explanation of profit maximisation.
Developing the response to the question: Application / Analysis	• influence of the ownership/control 'divorce' • size/complexity of firms • alternative objectives, eg ◦ maximisation of ▪ sales ▪ output/production ▪ revenue ▪ social welfare ◦ minimisation of ▪ money costs ▪ social costs ◦ satisficing behaviour • circumstances when different objectives might be appropriate • consequences of different objectives.
Evaluation	• feasibility of some or all of the possible objectives, (eg are firms able to track their marginal costs and revenues as accurately as theory suggests?) • inter-industry differences, e.g. manufacturing versus services; private versus public sector • are objectives exclusive?, or ◦ can several objectives be followed at once? ◦ are any objectives possible without profits being made? • short/long run objectives. Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.
Also give credit for	• relevant use of examples • diagrams • an overall judgement on the issues raised.

**22.**

For relevant definitions / descriptions, eg:

- oligopoly
- cartel
- collusion.

Interdependence refers to the idea that when making price and output decisions oligopolists have to consider not only how customers might react but also how rival companies might react; if a firm raises price, other firms might not follow suit; if it reduces price it might spark a price-cutting war this interdependence gives an elastic demand curve for price increases and an inelastic curve for price reductions and can lead to price stickiness and a kinked demand curve.

Uncertainty identified and explained, effects on total revenue; price seeking behaviour; price leadership, game theory, collusion.

Any other relevant issue, e.g. the presence of externalities which might result in an inefficient equilibrium.

Use of diagrams to help support explanations.

[15]**23.**

For relevant definitions, eg

- normal/supernormal profits
- short run/long run

- Barriers to entry are a reason. These can include patents which are relevant to pharmaceuticals; they reduce competition and allow a degree of monopoly preventing prices from falling in the long run and thus maintaining supernormal profits.
- Structure of the industry, product differentiation, imperfect knowledge, technological change collusion, limit pricing etc.

Use of appropriate diagrams to help support explanations, e.g. monopoly and/or perfect competition diagram accompanied by analysis of the effects of entry barriers

[15]

Issues and areas for discussion include:

Introduction	- the characteristics of a market - the meaning of 'contestability', e.g. a market where firms can enter or leave easily so that firms face competition from potential entrants - types of government intervention - types of competition.
Developing the response to the question: Application / Analysis	- examples of markets that are non-contestable and contestable - non-contestable: domestic piped water (natural monopoly) - contestable: bottled mineral water; - contestable markets in terms of - structure - performance - conduct. - could be argued that budget air travel is more contestable than full-service air travel - strategies for firms in contestable markets, - legitimate/legal strategies - eg limit pricing - illegitimate/illegal strategies - eg collusion - contestable markets and oligopoly - cartels 'gaming behaviour - government influence on contestability, eg - competition policy - franchising, e.g. ensuring a new operator for the National Lottery could enter with minimum cost, and an existing one leave without penalty - use of law, regulation.
Evaluation	- government intervention might still be necessary due to abuse of monopoly power, even if the market is contestable - the possibility that an industry that looks monopolistic or oligopolistic in terms of scale or structure might actually behave very competitively in certain aspects, e.g. the car industry supplying the global market for family cars - the effects on conduct (eg persuasive/informative advertising, product differentiation) and performance (costs, efficiency,

	externalities) - the issue of whether small firms are necessarily more competitive than large firms - government/market failure issues. Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.
Also give credit for	- relevant use of examples - diagrams - an overall judgement on the issues raised.

[25]

25.

For relevant definitions, e.g. competition, efficiency

Award one mark for each step in a logical chain of argument up to 15 marks, for example

- Allocative: Perfect competition leads to an efficient allocation of resources. Price = marginal cost so that producers are compensated for the effort of production and consumers receive benefit both of which are reflected in the price. Movement away from this equilibrium rewards one group at the expense of the other.
- Productive efficiency arising out of competition, marginal cost = average cost, average cost minimised

Use of appropriate diagrams to help support explanations, e.g. LR equilibrium under perfect competition, monopoly equilibrium

Maximum of 10 marks if only one of the types of efficiency in the question is considered.

[15]